

Pramo Jewels

Fraud Prevention Strategy

Document ID: PJ-FPS-001

Version: 1.0

Status: Approved for Development

Field	Value
Project	Pramo Jewels Premium E-Commerce Platform
Purpose	Define the strategy for detecting, preventing and responding to fraudulent activities
Audience	Security Team, Backend Developers, DevOps, Finance, Customer Support, QA
Version	1.0

Fraud Risk Areas & Controls

Fraud Area	Preventive Controls
Account Abuse	Email/OTP verification, rate limiting, CAPTCHA, device monitoring
Payment Fraud	Gateway risk checks, AVS/3DS where available, idempotency, velocity limits
COD Fraud	PIN eligibility, OTP confirmation, repeat-RTO detection
Coupon Abuse	Per-user limits, expiry, server-side validation
Refund Fraud	Approval workflow, purchase verification, audit logs
Review Abuse	Verified purchase reviews, spam detection, moderation
Admin Abuse	RBAC, MFA (future), audit logging, least privilege

Objectives

Reduce financial loss, protect customers, maintain platform integrity and detect suspicious behavior as early as possible.

Risk Scoring

Assign dynamic risk scores using order value, customer history, device fingerprint, IP reputation, failed payment frequency, delivery history and unusual purchasing patterns.

Detection Workflow

Capture Event → Risk Evaluation → Automated Rules → Manual Review (if required) → Approve, Block or Escalate → Audit Log.

Operational Controls

Limit high-risk transactions, require additional verification for suspicious activity, blacklist confirmed abusive entities and maintain configurable fraud rules.

Monitoring

Track chargebacks, payment failures, refund rates, coupon abuse, account creation anomalies, RTO rates and suspicious login activity.

Incident Response

Escalate confirmed fraud to Security and Finance teams, preserve evidence, suspend affected accounts where justified and document corrective actions.

Integrations

Integrates with Payment Gateway, Authentication, Orders, Shipping, Notifications, Analytics, Audit Logging and SIEM/Monitoring platforms.

Acceptance Criteria

Fraud detection rules operate consistently, false positives are reviewed efficiently, financial records remain accurate and all fraud events are fully traceable.